

Amazon.com, Inc.
AMZN NASDAQ

Buy \$258.63 ▼ 0.57% 12M Price Target \$305.00 52-Week Range \$196.00 – \$287.20 Market Cap \$2.79T

AMZN: AWS Beat Whispers Meet \$220B AI Capex Reality Check

WHAT HAPPENED

- TD Cowen threw out a big number: AWS (Amazon's cloud business — the servers and computing power they rent to other companies) could hit \$222B by 2027, which is 11% higher than what most analysts expect. This is the profit engine — AWS is where Amazon actually makes money, so a beat here matters way more than retail sales.
- But the same morning, headlines dropped that Amazon is bumping AI spending to \$220B for 2026. Translation: they're spending like crazy to build data centers for AI, which pressures near-term free cash flow (the actual cash left over after running the business). Market's shrugging — stock's off 0.6% — because investors are torn between "great long-term investment" and "ouch, that's a lot of money going out the door."

WHY IT MATTERS

Here's what I think is really going on: the market is trying to figure out whether Amazon is Nvidia's best customer or Nvidia's biggest hostage. That \$220B capex number essentially locks Amazon into a multi-year AI arms race with Microsoft and Google — they can't NOT spend, or they lose the cloud game. The TD Cowen call matters because if AWS revenue really compounds 11% faster than consensus, that spending gets absorbed by growth and margins stay fine; if it doesn't, you get a nasty compression year where earnings look ugly. Watch for: Nvidia's earnings this week (Amazon buys a ton of their chips, so Nvidia's commentary on hyperscaler demand is basically a read on AMZN's capex ROI), and any signal from AWS on custom silicon (Trainium/Inferentia) taking share — that's the path to getting out from under Nvidia's pricing power.

POLICY & POLITICAL WATCH

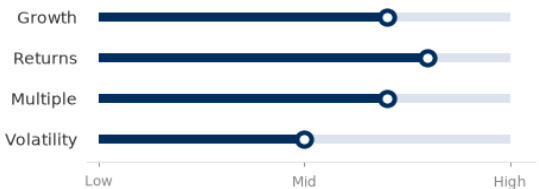
Two things on the Washington radar: (1) the FTC antitrust case against Amazon is still grinding through the courts — a structural remedy (forcing them to split off AWS or the marketplace) is the tail risk nobody's pricing in, though most legal watchers think a settlement or narrow remedy is more likely. (2) The AI executive order framework and data center permitting reform — the administration has been signaling it wants to fast-track power and permits for domestic AI infrastructure, which is a direct tailwind for that \$220B capex plan. Also keep an eye on China tariff policy: Amazon's third-party sellers source heavily from China, and any escalation directly pressures marketplace take rates and consumer prices heading into holiday season.

IS IT EXPENSIVE?

Key Data

Price (USD)	\$258.63
12M Price Target	\$305.00
Upside / (Downside)	+17.9%
Market Cap	\$2.79T
FY2026E Revenue	\$745M
FY2027E Revenue	\$825M
FY2026E EPS	\$6.85
FY2027E EPS	\$8.40
Fwd P/E	37.8x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$275.00	\$262.00	\$245.00
6 Months	\$305.00	\$280.00	\$235.00
1 Year	\$335.00	\$305.00	\$225.00
2 Years	\$400.00	\$350.00	\$240.00
5 Years	\$550.00	\$450.00	\$280.00
10 Years	\$900.00	\$650.00	\$350.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Materials (+2.14%) and Healthcare (+4.33% over 5 days) — Materials is likely rate-cut and infrastructure spending anticipation, Healthcare is defensive rotation plus M&A chatter.

COOLING OFF: Communication Services (-1.37% over 5 days) and Financials (-1.17%) — Comm Svcs weakness is interesting because it usually moves with mega-cap tech; suggests some AI trade fatigue heading into Nvidia earnings.

ROTATION WATCH: Money is drifting toward defensives (Healthcare, Staples) while the AI complex holds its breath for Nvidia. If Nvidia beats, expect capital to snap back into AMZN, MSFT, GOOGL quickly.

RELATED PLAY: If you believe the AWS AI capex story, the picks-and-shovels trade is data center infrastructure — think power/cooling companies (VRT, ETN) and data center REITs (EQIX, DLR) that get paid regardless of which hyperscaler wins.

WHO'S WINNING IN THIS SPACE?

- NVDA (Nvidia): The whole AI trade pivots on their earnings this week — they're the direct beneficiary of Amazon's \$220B capex plan.
- MSFT (Microsoft): Azure has been the AWS benchmark; if they hold share, it validates the hyperscaler growth story that Amazon needs.

AMZN CONTEXT: Amazon is sitting mid-pack in the hyperscaler race — not leading like Microsoft's early OpenAI move, not lagging like Google's slower enterprise adoption. That's actually fine because AMZN is the value play in the group: cheaper multiple, more diversified revenue (retail + advertising + cloud), and the biggest cloud installed base to upsell AI into.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

Position Size: 4-6% of portfolio

Entry Points: \$248-255 on pullbacks

Time Horizon: 12-24 months

Thesis Invalidation: AWS growth decelerates below 15% YoY or FTC antitrust case forces structural remedies

Hedging: Small put spread or pair with short position in a pricier hyperscaler proxy